

COMMERCIAL LEASE AGREEMENT

THIS LEASE AGREEMENT ("Lease") dated January 20, 2021, between **ATLANTA RETAIL HOLDINGS LLC**, a Georgia limited liability company ("Landlord"), and **SKYLINE STORES**, a Delaware corporation ("Tenant").

RECITALS

WHEREAS, Landlord owns Peach Plaza, a mixed-use development with ground-floor retail in Atlanta's downtown business district;

WHEREAS, Tenant seeks to establish an express-format urban store to serve downtown workers and residents;

WHEREAS, Landlord desires Tenant as an anchor retail tenant to activate the Plaza's retail component;

NOW, THEREFORE, the parties agree as follows:

ARTICLE 1 - BASIC TERMS

Lease Element	Terms
Premises:	14,000 square feet, Ground Floor
Store ID:	S009
Address:	87 Peachtree Street, Atlanta, GA 30303
Building:	Peach Plaza Mixed-Use Tower
Tenant's Share:	18.67% of Retail Component
Term:	Three (3) years
Commencement:	February 5, 2021
Expiration:	February 4, 2024
Extension:	Extended to February 4, 2029
Base Rent:	See Section 3.1
Security Deposit:	\$70,000 (2 months)

Current Extension Term (Executed 11/1/2023):

Term: February 5, 2024 - February 4, 2029 (5 years) **This document reflects the extended term**

ARTICLE 2 - PREMISES

2.1 Demised Premises

Landlord leases to Tenant:

- 14,000 SF ground floor retail
- Corner location with dual street frontage
- One level below-grade storage (2,000 SF)
- Access to retail loading dock
- Plaza-facing outdoor seating area (500 SF)

2.2 Common Areas

Non-exclusive use of:

- Customer entrances from plaza
- Retail parking garage (Levels B1-B3)
- Loading facilities (scheduled times)
- Public plaza and walkways
- Building lobby access for customers

2.3 Parking

- Validation system for customers (2 hours free)
- 20 reserved monthly spaces for employees
- Loading zone access 6 AM - 10 AM daily

ARTICLE 3 - RENT

3.1 Base Rent Schedule (Current Extension Term)

Year	Period	Monthly Rent	Annual PSF
Ext. 1	2/5/24-2/4/25	\$35,000	\$30.00
Ext. 2	2/5/25-2/4/26	\$36,050	\$30.90
Ext. 3	2/5/26-2/4/27	\$37,132	\$31.83
Ext. 4	2/5/27-2/4/28	\$38,245	\$32.78
Ext. 5	2/5/28-2/4/29	\$39,393	\$33.77

3.2 Operating Expenses

Base Year: 2024 Current Estimate: \$12.50 PSF

Includes:

- Building operations and management
- Security (24/7 concierge and patrols)
- Common Area maintenance
- Utilities for retail common areas
- Insurance allocations
- Plaza maintenance
- Marketing fund contribution

3.3 Real Estate Taxes

Base Year: 2024 (\$487,500 for retail) Tenant pays 18.67% of increases

3.4 Percentage Rent

3% of annual Gross Sales exceeding \$4,000,000

3.5 Additional Charges

- Parking: \$150/space/month (20 spaces)
- After-hours HVAC: \$85/hour
- Special event fees: As applicable
- Outdoor seating fee: \$500/month (April-October)

ARTICLE 4 - USE AND OPERATION

4.1 Permitted Use

Express-format Skyline Store emphasizing:

- Grab-and-go food offerings
- Urban convenience items
- Lunch/breakfast service
- Coffee bar operation
- Business services (shipping/printing)
- Online order pickup lockers

4.2 Hours of Operation

Required Minimum:

- Monday-Friday: 6 AM - 9 PM
- Saturday: 8 AM - 8 PM
- Sunday: 9 AM - 6 PM
- Holidays: Modified schedule permitted

4.3 Operational Requirements

- Breakfast service by 7 AM weekdays
- Lunch offerings 11 AM - 2 PM
- Adequate staffing during rush hours
- Maintain online pickup system
- Participate in building tenant app

4.4 Prohibited Uses

- Full-scale grocery operation
- Warehouse/storage primary use
- Manufacturing/production kitchen
- Drive-through service
- Alcohol sales (without approval)

4.5 Plaza Activation

Tenant agrees to:

- Maintain outdoor seating (seasonal)
- Participate in plaza events
- Coordinate with property management
- Support building tenant programs

ARTICLE 5 - MAINTENANCE AND REPAIRS

5.1 Tenant Responsibilities

- Interior premises maintenance
- Storefront glass and doors
- Interior finishes and fixtures
- Kitchen equipment and systems

- Pest control coordination
- Grease trap maintenance

5.2 Landlord Responsibilities

- Building structure and envelope
- Base building systems
- Plaza and common areas
- Parking garage
- Security systems
- Elevators and escalators

5.3 HVAC Service

TENANT RESPONSIBILITY:

- All HVAC maintenance for dedicated units
- Filter changes monthly
- Annual service contracts
- All repairs and replacements
- Energy management compliance

Tenant's Units: Four (4) 5-ton units serving Premises only

5.4 Cleaning Standards

- Daily janitorial required
- Coordinate with building services
- Maintain health department standards
- Power washing monthly (exterior)

ARTICLE 6 - ALTERATIONS AND IMPROVEMENTS

6.1 Initial Buildout

TI Allowance: \$420,000 (\$30 PSF)

- Design approval required
- Building standards compliance
- 120-day completion deadline

- Progress payment draws

6.2 Design Requirements

- Consistent with plaza aesthetic
- Open storefront design
- Energy-efficient systems
- ADA full compliance
- LEED criteria incorporation

6.3 Future Alterations

- <\$25,000: Notice only
- | \$25,000: Prior approval
- Structural: Prohibited
- Must maintain plaza harmony

6.4 Restoration

Remove Tenant improvements and restore to shell condition unless otherwise agreed.

ARTICLE 7 - INSURANCE AND INDEMNITY

7.1 Tenant's Insurance

Coverage Type	Minimum Limits
General Liability	\$3M/\$5M
Property	Replacement cost
Business Interruption	12 months
Auto	\$2M combined
Workers' Comp	Statutory
Umbrella	\$10M
Food Service Liability	\$2M

7.2 Additional Requirements

- Plaza events coverage
- Outdoor seating liability
- Liquor liability (if applicable)

- Cyber security coverage
- Employment practices

7.3 Indemnification

Mutual indemnification except for gross negligence. Includes plaza activities and special events.

ARTICLE 8 - ASSIGNMENT AND SUBLETTING

8.1 Restrictions

No assignment or subletting without consent. Urban format must be maintained.

8.2 Permitted Transfers

- Corporate affiliates
- Franchisees (Skyline brand)
- Merger/acquisition (creditworthy)

8.3 Conditions

- Maintain express format
- Equal or better credit
- Experience in urban retail
- Assume all obligations

ARTICLE 9 - DEFAULT AND REMEDIES

9.1 Monetary Default

5 days written notice. Chronic late payment (2x in 6 months) is separate default.

9.2 Non-Monetary Default

15 days notice for operational defaults. 30 days for other breaches.

9.3 Remedies

Standard remedies plus:

- Plaza access termination
- Parking privileges revocation
- Acceleration (3 months)

- Attorney fees

ARTICLE 10 - SPECIAL PROVISIONS

10.1 Building Integration

- Key card access system
- Integrated security protocols
- Emergency procedures compliance
- Tenant portal participation

10.2 Sustainability

- Mandatory recycling/composting
- Energy reporting monthly
- Green cleaning only
- Water conservation required
- ENERGY STAR equipment

10.3 Special Events

- Plaza activation 4x annually
- Holiday participation required
- Food truck coordination
- Marketing cooperation

10.4 Transit Subsidy

Tenant participates in employee transit subsidy program at \$100/employee/month.

10.5 Technology Requirements

- POS integration with building
- Mobile ordering capability
- Loyalty program compatibility
- Wi-Fi for customers

10.6 Future Development

If Landlord develops Phase 2, Tenant has ROFR on additional space at market terms.

ARTICLE 11 - GENERAL PROVISIONS

11.1 Notices

Landlord: Atlanta Retail Holdings LLC 300 Peachtree Street NE, Suite 4000 Atlanta, GA 30308 Email: management@peachplaza.com

Tenant: Skyline Stores 500 Commerce Drive Dallas, TX 75201 Email: realestatelegal@skylinestores.com

11.2 Governing Law

Georgia law. Fulton County venue.

11.3 Entire Agreement

Supersedes original lease and all prior agreements.

11.4 Force Majeure

Standard provisions plus pandemic protocols per building requirements.

11.5 Brokers

Original Deal: Cushman & Wakefield (both parties)

Extension: Direct deal, no brokers

11.6 Guaranty

Continuing guaranty from Parent remains in effect.

11.7 Memorandum

Short form lease recorded in Fulton County records.

11.8 Confidentiality

Lease terms confidential except as required by law.

EXECUTION

LANDLORD: ATLANTA RETAIL HOLDINGS LLC

By: _____

Name: Patricia Williams

Title: Managing Member

Date: January 20, 2021 (Original)

Date: November 1, 2023 (Extension)

TENANT: SKYLINE STORES

By: _____

Name: Marcus Thompson

Title: Regional Vice President

Date: January 20, 2021 (Original)

Date: November 1, 2023 (Extension)

EXHIBITS

Exhibit A - Floor Plan and Storage Area **Exhibit B** - Plaza Site Plan **Exhibit C** - Parking Garage Access Map

Exhibit D - Building Rules and Regulations **Exhibit E** - Sustainability Requirements **Exhibit F** - Form of Estoppel Certificate **Exhibit G** - Original Guaranty **Exhibit H** - Plaza Event Calendar **Exhibit I** - Signage Criteria **Exhibit J** - Extension Amendment Detail